



ALPINE
DUE DILIGENCE INC.

ODD Report

Havencrest Institutional Real Estate Trust

Private Real Estate — Diversified Canadian Portfolio | British Columbia Trust | Full Review

February 2024

Review Type: Full Review

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Overview

Manager Overview

Pembroke, Walker & Ross Funds Inc. ("PWRFI", together with its affiliates, the "Manager") serves as Manager. PWRFI is an affiliate under the broader Pembroke, Walker & Ross Financial Group Ltd. ("PWRFG", together with its affiliates, "PW&R") organization. PWRFI has delegated investment management functions for the Havencrest Institutional Real Estate Trust to Havencrest Real Estate Investments Ltd. ("Havencrest"). Havencrest had AUM of CAD 5.41 billion as at September 30, 2023, while PWRFG had AUM of CAD 110.74 billion across its affiliates. Havencrest is headquartered in Toronto (Canada) and has over 40 investment professionals, supported by over 300 professionals at PWRFG in non-investment functions.

Fund Overview

Havencrest Institutional Real Estate Trust (the "Fund") was established as a trust, governed under the laws of the Province of British Columbia on November 7, 2012, and commenced operations on April 29, 2013. Through investment in Havencrest Real Estate Investments Limited Partnership (the "Master Fund"), the Fund intends to acquire a diversified portfolio of Canadian real property investments and real estate related financial instruments under a hybrid structure. The Fund had AUM of CAD 1.92 billion as at September 30, 2023.

Controls Overview

Northern Crown Investor Services ("NCIS", the "Administrator") has been engaged to provide administration services to the Fund. The Master Fund is self-administered. The Fund and Master Fund's auditor is Marlowe & Crane LLP ("Marlowe & Crane"). The Fund maintains a custodial and banking relationship with Northern Crown, and a credit facility relationship with Dominion Commercial Bank ("Dominion"). Internally, the Manager uses ARES, its proprietary system, as the Portfolio Management System ("PMS"), Origin for deal management, and Yardi for portfolio accounting.

Strengths

- Northern Crown Investor Services provides administration services to the Fund.
- Appropriate compliance framework, IT infrastructure, and business continuity procedures.
- Long operating history: PWRFG founded in 1982; Havencrest launched in 2010.
- Diversified Canadian real estate portfolio with 318 properties at December 31, 2023.

Risks

- Master Fund is self-administered; Fund is hybrid (monthly discount redemptions, quarterly at NAV).
- Illiquid private real estate assets held in a hybrid structure with redemption provisions at Manager discretion.
- Administrator oversight limited: NCIS does not oversee asset existence and does not receive valuation agent reports.
- Segregation of duties: Colm MacFarland (Executive VP / COO) oversees compliance and sits on investment committee.

Assessment

OVERALL RATING: GREEN

Pembroke, Walker & Ross Funds Inc. ("PWRFI", together with its affiliates, the "Manager") serves as Manager and is headquartered in Toronto (Canada). PWRFI commenced operations in 2012. Alpine notes that PWRFI is an affiliate under the broader Pembroke, Walker & Ross Financial Group Ltd. ("PWRFG", together with its affiliates, "PW&R") organization. Across its affiliates, PWRFG had assets under management ("AUM") of CAD 110.74 billion as at September 30, 2023.

Alpine understands that there are multiple investment management affiliates within the PWRFG group of companies, including Havencrest Real Estate Investments Ltd. ("Havencrest"). Alpine notes that PWRFI has delegated investment management functions for the Havencrest Institutional Real Estate Trust (the "Fund") to Havencrest. To this point, all non-investment related functions (i.e. business management services including portfolio accounting, trade operations, IT, legal and compliance, marketing, etc.) are carried out by PWRFG (over 300 staff). Alpine understands that the related expenses for PWRFG's services are not charged to the Fund.

Havencrest was founded by Kenneth Lawson (President / Chief Executive Officer ("CEO") - Havencrest) in 2010 and is headquartered in Toronto (Canada). Havencrest specializes in private equity real estate investments for institutional and high net worth investors. Havencrest is 50% owned by PWRFG and 50% owned by Havencrest's Partners. As at September 30, 2023, Havencrest had AUM of CAD 5.41 billion.

The Fund was established as a trust in British Columbia on November 7, 2012, and commenced operations on April 29, 2013. The Fund invests as a feeder into an underlying master fund, Havencrest Real Estate Investments Limited Partnership (the "Master Fund"), which directly or indirectly makes investments in income-producing real property, and real estate related securities, including without limitation, office, retail and industrial properties, multi-unit residential dwellings, mortgages, mezzanine loans, and such other property or investments in Canada. As at September 30, 2023, the Fund had AUM of CAD 1.92 billion.

Northern Crown Investor Services ("NCIS", the "Administrator") serves as Trustee and has been engaged to provide administration services to the Fund.

As Alpine's primary due diligence observation, Alpine highlights that while NCIS has been appointed to provide administrative services for the Fund and Private Client Trust (including portfolio accounting, partnership capital accounting, and NAV calculation services), the Master Fund has not appointed an independent administrator. As such, investors are reliant on the Manager to maintain accounting books and records for the Master Fund. Alpine highlights that this is a significant issue as the Master Fund holds the portfolio assets and therefore there is no independent oversight over such assets. All Master Fund accounting records and investor reporting are prepared in-house by PWRFG's accounting team. Alpine notes that the failure to appoint an administrator for such a structure is now exceptionally unusual post-Madoff, and highlights this material operational deficiency. Although this arrangement may be relatively common in older asset management firms, Alpine notes that it is no longer considered industry best practice.

While Alpine understands that PWRFG has significant resources, Alpine would strongly prefer the Master Fund appoint a third party administrator under a full service agreement to provide independent oversight over the activities of the Master Fund, in line with standard industry practice. The appointment of a third party administrator would serve to strengthen support around fund accounting, valuation, and most notably given the liquidity mismatch (discussed in

Terms), investor capital accounting, and redemption activity. When inquired about why the firm did not engage an administrator at the Master Fund level, the Manager represented that given the private market nature / alternative asset class, a fund administrator was not deemed necessary for the Master Fund as Havencrest and PWRFG have the expertise and skills necessary to value and prepare the financial reporting for an operating entity of this nature. For the Fund, the Manager stated that it appointed NCIS as it has the skills and expertise necessary to administer the vehicle given its trust structure. To that point, Alpine notes that the firm has no plans on appointing a third party administrator for the Master Fund going forward. As such, Alpine highlights the Manager's reluctance to adopt industry trends and best practice. Alpine would strongly prefer to see institutional investment managers leading, rather than lagging, best practice. To this point, Alpine highlights that investors will subscribe to and redeem from the Fund on NAV dates without any external oversight over existence or valuation of the Fund from the Administrator. Investors should not allocate to the Fund unless comfortable with this arrangement.

Separately, Alpine highlights that the Fund's Trust Agreement, dated November 16, 2012, states that: *"Units may be redeemed monthly by surrendering for redemption Units held by a Unitholder at least 15 Business Days prior to the last Business Day of each month [...] The Monthly Redemption Price will be satisfied, at the discretion of the Manager, by delivery of: (i) cash, to the extent excess cash is reasonably available; (ii) out of the proceeds of the issuance of new Units; or (iii) a Redemption Note issued by the Redemption Trust [...]"*. Units may also be redeemed on a quarterly basis, with payment *"paid as and when cash is received by the Fund on redemption or sale by the Fund following the Quarterly Redemption Date of units of the Partnership or out of the proceeds of the issuance of new Units or excess cash reasonably available to the Fund, as determined by the Manager in its discretion."* As such, Alpine highlights that the Fund is a hybrid vehicle that allows investors to subscribe and redeem on NAV dates, and that holds Level 3 assets. It is unusual for such a structure to hold illiquid assets. To that point, Alpine notes that the Fund offers monthly redemptions (at a 10% discount of NAV) and quarterly redemptions, at the discretion of the Manager. On this note, the Manager indicated that to date, no client has taken a monthly redemption that does not fall on a quarter end, and that the 10% discount is a proxy for the possible valuation uncertainty given that detailed property valuations are only completed on a quarterly basis, not on a monthly basis. Alpine highlights that with an average 5-6 year holding period for assets, it may take a considerable amount of time for investors to redeem from the Fund. In addition, the Fund's Trust Agreement contains a Fund level gating provision which indicates that *"For greater certainty, any issuance of Units for the purpose of obtaining funds to satisfy all or part of the Monthly Redemption Price or the Quarterly Redemption Price, as the case may be, shall be limited in number to 20% of the number of Units outstanding at the beginning of the fiscal year in which any redemptions occur."* Alpine understands that the Manager aims to address the liquidity mismatch issue with discounts in terms of monthly redemption, as well as the fund level gate. Nonetheless, Alpine reiterates that the portfolio holds illiquid assets and highlights that this provision still does not provide any guarantee related to the maximum amount of time for investors to receive redemption monies.

Moreover, the Manager stated that the Fund can satisfy redemption requests through a combination of methods, including i) committed but un-invested equity provided by other investors, ii) cash on hand at the Master Fund level (representing approximately 1-2% of total equity), iii) access to a line of credit. Havencrest added that if such sources were not sufficient to satisfy all redemption requests, the General Partner would be required to sell assets if unsatisfied redemption requests reach 15% or more of total Fund units outstanding in order to fund redemptions within six months. To this point, the firm represented that it has never gated any redemptions or had to sell any assets to satisfy redemptions. Furthermore, the Fund has never implemented a redemption queue or restricted redemptions in any other manner. Overall, in Alpine's view, a closed-ended vehicle is a more appropriate structure to support a strategy that holds solely Level 3 assets. Investors should not allocate to the Fund unless comfortable with the inherent risk associated with the Fund's structure.

Furthermore, Alpine highlights that the Administrator does not provide appropriate oversight over asset existence and valuation. From an existence perspective, several parties are expected to be involved in each transaction to ensure all investments are genuine. As such, any attempt to create a fictitious asset would require collusion among a number of Havencrest and PWRFG professionals and external parties. Furthermore, Alpine understands that Marlowe & Crane as auditor tests the portfolio at year-end for existence on a sample basis. In addition, the firm confirmed that an external valuation agent pays site visits to properties under review (i.e. at least once every two-year mandate), providing some comfort regarding asset existence. Nonetheless, Alpine highlights the misalignment regarding the frequency of asset existence validation, conducted by the auditor (at year end only) and by the third party valuation agents (at least once every two years), which is far below best practices in light of the Fund's hybrid structure: procedures supporting asset existence are expected to be aligned with the reporting and redemption cycle. As such, Alpine would have a strong preference for additional procedures to be added that are aligned with the Fund's quarterly reporting cycle.

Furthermore, Alpine notes that the portfolio introduces high valuation risk given the allocation toward real estate assets in a hybrid structure. Internal to the firm, the Manager's pricing process is conducted on a quarterly basis by Havencrest's asset management team. Alpine notes that the back office function does not review proposed valuations of private securities held at fair market value as determined by front office investment professionals. Alpine would prefer to see the back office perform a review of material model assumptions, a validation of the accuracy of calculations and referenced inputs, as well as a review for consistency over time. Furthermore, the Manager has a valuation committee, the "Advisory Committee", which consists of two independent members: Silas Norvall (President and CEO of CSC Student Communities Corp) and Priscilla Stratford (former CEO of Cornerstone Canada Financial Corp). The Advisory Committee approves valuations on a quarterly basis. The Manager represented that both Silas and Priscilla are seasoned, well respected real estate industry professionals with a thorough understanding of the issues that impact real estate and mortgage values.

Havencrest currently engages with Harbinger Realty Advisors ("Harbinger") as an independent third-party valuation agent to price the Fund's portfolio at least on an annual basis under a full valuation review. Harbinger prices 25% of the portfolio each quarter, completing a valuation of the entire portfolio annually. Additionally, Havencrest indicated that Harbinger pays site visits to properties under review as part of its pricing process. Specifically, the Manager stated that the appraiser visits every property at minimum once per appraisal mandate. Therefore, for a two year mandate, they will inspect the property on the first calendar year of the mandate, and potentially during the second year of the mandate. If anything, material has changed at a specific property, the appraiser would make sure to tour it again during the second year. Given the allocation to Level 3 assets, it is notable that the Fund's Administrator provides limited external oversight with respect to the valuation of the Fund's portfolio and accepts pricing from the Manager at each quarter end. With respect to external valuation agent reports, both the Manager and Administrator confirmed that NCIS does not receive a copy of the valuation agent reports. Alpine would strongly prefer for the Administrator to receive the valuation agent reports (preferably from the valuation agents directly), which would provide a degree of independent oversight and validation over the pricing of private securities. Furthermore, Alpine reiterates that the Master Fund has not appointed a third party administrator, which falls below industry best practice.

Separately, Alpine notes that Colm MacFarland (Executive Vice President ("VP") / Chief Operating Officer ("COO") - Havencrest) who is responsible for Havencrest's daily operations as well as overseeing the compliance function, serves on the investment committee. Alpine highlights the appearance of conflicts of interest, and would prefer to see enhanced segregation of duties where compliance and operations is separate from the investment committee. In partial mitigation of the above, Alpine notes that investment approval requires unanimous approval from all four members of the investment committee, which consists of Kenneth Lawson (President / CEO - Havencrest), Colm MacFarland (Executive VP / COO - Havencrest), Martin Frank (Chairman - PWRFG), and Wesley Sutherland (CEO - PWRFG). At the time of issuance, the Manager had not yet confirmed whether Colm participates in the performance

fees generated by the Fund.

Alpine notes that Havencrest has recently formalized an allocation policy, dated January 2024, which was provided for review in soft copy. However, Alpine highlights that the investment committee (which includes Colm MacFarland, who is responsible for compliance at Havencrest) currently oversees the allocation process. Alpine would strongly prefer that the process be overseen by the compliance function. However, given that Colm also serves on the investment committee, Alpine notes that the allocation process would ultimately not be subject to independent oversight and would not be seen as a robust control unless segregation of duties is implemented.

As a point of interest, the audit opinion for the Master Fund's audited financial statements (for the year ended December 31, 2022) indicates that the accounts were prepared "*in accordance with the financial reporting provisions of Article 10 and Schedule A of the amended and restated Limited Partnership Agreement, dated December 29, 2022, between the Partnership and its partners (the "Limited Partnership Agreement").*" Furthermore, Alpine highlights that the audit opinion for the Master Fund's audited financial statements includes an "*Emphasis of Matter - Financial Reporting Framework*" paragraph, stating that: "*We draw attention to Note 2 in the financial statements, which describes the applicable financial reporting framework. The financial statements are prepared to assist the Partnership to meet the requirements of the Limited Partnership Agreement. As a result, the financial statements may not be suitable for another purpose. Our opinion is not modified in respect of this matter.*" Investors are encouraged to refer to Note 2 of the financial statements for further detail on this matter. Furthermore, Alpine highlights that the accounting principles and auditing standards for the Fund and Master Fund are not consistent. Alpine notes that the Fund's audited financial statements for the year ended December 31, 2022, have been prepared under IFRS and Canadian generally accepted auditing standards ("GAAS"), while the accounts for the Master Fund have been prepared using accounting principles in accordance with the offering document and Canadian GAAS. Alpine highlights this inconsistency, which may not be fit for investor purposes.

In practice, the Manager indicated that system expenses are borne by the Fund. Conceptually, Alpine is opposed to the Manager passing through system expenses, which Alpine typically views as the firm's overhead expenses. From Alpine's side, Alpine would have some preference to see the Manager pay for such items from the fixed management fee.

Internal to the firm, Havencrest uses ARES, its proprietary system, as the Portfolio Management System ("PMS"), and Origin as its Deal Management System. In addition, Havencrest employs Yardi for portfolio accounting.

With respect to asset transfers, Alpine notes that all wires from the Fund's operating account are jointly controlled by the Administrator and Manager under a dual signature policy.

As a final comment, Alpine notes that the Manager has adopted appropriate information technology infrastructure, cybersecurity, and business continuity procedures geared to mitigate key risks.

Overall, Alpine highlights that the Master Fund has not appointed an independent administrator: as such, investors are reliant on the Manager to maintain accounting books and records for the Master Fund. Furthermore, Alpine reiterates the inherent mismatch between the hybrid structure of the Fund and the illiquid portfolio, and note that a closed-ended structure would be a more appropriate structure to invest in illiquid assets. In light of the Fund's structure and lack of an administrator at the Master Fund level, investors can subscribe and redeem from the Fund on NAV dates with no external oversight over existence and valuation from the Administrator. While the firm has engaged third party valuation agents, which pay visits to the properties once per every two year mandate, Alpine notes that the Administrator does not receive a copy of the valuation agent reports under current procedures. Alpine would strongly suggest the Manager amend its procedures to allow the Administrator to receive such reports directly from the valuation agent. Separately, Alpine notes that there is no independent compliance oversight over the investment allocation process and would strongly prefer for the Manager to enhance segregation of duties. As a final

note, Alpine highlights that the accounting principles and auditing standards for the Fund and Master Fund are not consistent, which may not be fit for investor purposes. Overall, however, PWRFG's and Havencrest's resources, policies, and procedures meet minimal standards to provide reasonable assurance to limit operational risk, which leads to Alpine's "*Green*" assessment. Nonetheless, investors should not allocate to the Fund unless comfortable with the above issues.

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Scope & Verification

Scope of Review

Alpine's review included conference calls with the Manager's operations, compliance, valuation, and legal teams; conference calls with Northern Crown Investor Services (the Fund's Administrator, Trustee, custodian, and corporate banker) and Harbinger Realty Advisors (valuation agent); review of the Fund's Trust Agreement dated November 16, 2012, Term Sheet dated September 2021, the Manager's Form ADV dated March 31, 2023, the Manager's Compliance Manual (Corporate Governance policy) dated May 2019, the personal trading policy, the valuation policy, the Information Security Management policy dated January 2023, the incident response plan, the Fund's and Master Fund's audited financial statements for the year ended December 31, 2022, and independent checks against public registers and regulatory databases.

Independent Verification Performed

Verification	Result	Evidence Basis
Management Company and Affiliates	Confirmed	Alpine direct check, British Columbia register via Corporations Canada
Management Company Corporate Form	Consistent	Form ADV dated March 31, 2023
SEC Registration (PWRIM)	Confirmed	Alpine direct check, SEC register
Canada Regulator Registration (PWRFI)	Confirmed	Alpine direct check, Ontario Securities Commission ("OSC") and CSA registers
Canada Regulator Registration (PWRIM)	Confirmed	Alpine direct check, British Columbia Securities Commission ("BCSC") and CSA registers
Canada Regulator Registration (Havencrest Asset Management Ltd.)	Confirmed	Alpine direct check, OSC and CSA registers
SEC Disciplinary History (PWRIM)	Four closed actions	Form ADV Part 1A Section 11 / DRP pages reference four closed regulatory actions
Canada Regulator Disciplinary (PWRFI)	No actions	CSA Disciplined List review
Canada Regulator Disciplinary (PWRIM)	No actions	CSA Disciplined List review
Canada Regulator Disciplinary (Havencrest Asset Management Ltd.)	No actions	CSA Disciplined List review

Verification	Result	Evidence Basis
Compliance Consultant (Marlowe & Crane)	Exception noted	Manager did not provide contact details
Compliance Consultant (Beacon Compliance Services)	Exception noted	Manager did not provide contact details
Cybersecurity Consultant (Sentinel Advisory Group)	Exception noted	Sentinel Advisory Group had not responded as of February 20, 2024
Fund Registration (British Columbia)	Confirmed	Alpine direct check, Corporations Canada
General Partner Registration	Confirmed	Alpine direct check, Ontario register (Havencrest Real Estate Investments Ltd.)
AUM Verification (Quarter End)	Confirmed	NCIS reported Fund net assets of CAD 1.92 billion as at September 30, 2023 — exact match with Manager
AUM Verification (Year End)	Confirmed	December 31, 2022 audited financial statements reflect net assets of CAD 1.87 billion
Administrator Verification (NCIS)	Confirmed	NCIS confirmed via conference call on February 7, 2024
Auditor Verification (Marlowe & Crane)	Confirmed	NCIS confirmed Marlowe & Crane is engaged as auditor; unqualified opinion on most recent audited financial statements
Custodian (Northern Crown Investor Services Trust)	Confirmed	Northern Crown confirmed via email on February 16, 2024
Credit Facility (Dominion Commercial Bank)	Exception noted	Manager did not provide contact details for Dominion
Prime Brokers / Custodians / Counterparties (Indirect)	Confirmed	NCIS confirmed via conference call on February 7, 2024
Asset Verification	Exception noted	NCIS has not been engaged to confirm existence of Fund's assets and liabilities in the quarterly final NAV — annual audit only
Corporate Banker (Northern Crown Investor Services Trust)	Confirmed	NCIS confirmed via conference call on February 7, 2024
Valuation Agent (Harbinger Realty Advisors)	Confirmed	Harbinger confirmed via email on February 18, 2024

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Alpine Ratings

Chapter	Rating
Manager, Ownership & Governance	GREEN
Legal, Regulatory & Compliance	GREEN
Technology, Cybersecurity & Business Resilience	GREEN
Fund Structure, Terms & Investor Alignment	RED
Service Providers, Delegation & Oversight	YELLOW
Investment Operations & Portfolio Controls	YELLOW
Valuation, Asset Existence & Investor Reporting	YELLOW
Manager Transparency & LP Communications	GREEN

Alpine Flags

#	Flag	Section
1	Manager runs separately managed accounts (approximately CAD 1.5 billion across nine SMAs and co-investment vehicles).	Manager, Ownership & Governance
2	Ownership structure is not disclosed / specific ownership percentages not provided.	Manager, Ownership & Governance
3	Employees are related / married within the firm (Quantitative Equity team).	Manager, Ownership & Governance
4	Insider capital does not represent over 50% of the liquid net worth of the Principals.	Manager, Ownership & Governance
5	No formal succession plan and no key person / life insurance.	Manager, Ownership & Governance
6	No mandatory deferred compensation scheme.	Manager, Ownership & Governance
7	Separately managed accounts may use different service providers compared to the reference Fund.	Manager, Ownership & Governance
8	Manager has not been subject to a regulatory inspection in the past five years (Havencrest).	Legal, Regulatory & Compliance
9	Manager, affiliate or employee has been subject to regulatory sanctions in the past ten years (PWRIM: penalty fees in Sweden and Norway for late short position reporting, 2019-2021).	Legal, Regulatory & Compliance
10	Manager does not have a dedicated CCO (Colm MacFarland serves as both Executive VP / COO and CCO of Havencrest).	Legal, Regulatory & Compliance
11	Personal trades are not subject to a minimum holding period.	Legal, Regulatory & Compliance
12	The Administrator does not complete AML / KYC verifications.	Legal, Regulatory & Compliance
13	Principals have external business interests.	Legal, Regulatory & Compliance
14	No board at the Fund level.	Fund Structure, Terms & Investor Alignment
15	No board at the underlying Master Fund level.	Fund Structure, Terms & Investor Alignment
16	Fund does not have a key person provision.	Fund Structure, Terms & Investor Alignment
17	Fund has a gating provision (20% of units outstanding at beginning of fiscal year).	Fund Structure, Terms & Investor Alignment

#	Flag	Section
18	Fund may satisfy redemption requests through creation of a liquidating trust or similar mechanism.	Fund Structure, Terms & Investor Alignment
19	Research related travel expenses are charged to Fund.	Fund Structure, Terms & Investor Alignment
20	System expenses are charged to Fund.	Fund Structure, Terms & Investor Alignment
21	Fund holds private investments exceeding 5% of NAV that are not side-pocketed (100% Level 3 real estate assets).	Fund Structure, Terms & Investor Alignment
22	The firm utilizes multiple administrators across its product line (NCIS and Dominion Commercial Trust Services).	Service Providers, Delegation & Oversight
23	An affiliate of the Administrator is a financial counterparty to the Fund (NCIS Trust also serves as custodian and corporate banker).	Service Providers, Delegation & Oversight
24	Fund auditor also provides audit / non-audit services to the management company.	Service Providers, Delegation & Oversight
25	Portfolio positions exceeding 5% of NAV not held in traditional custody (direct real property interests).	Investment Operations & Portfolio Controls
26	The Manager utilizes a proprietary system infrastructure (ARES).	Investment Operations & Portfolio Controls
27	Inputs and assumptions of internal pricing of securities held at fair market value are not reviewed by back office (private securities).	Valuation, Asset Existence & Investor Reporting
28	External valuation agent reports are not updated at each NAV calculation date.	Valuation, Asset Existence & Investor Reporting
29	The Administrator accepts pricing from the Manager without conducting any verification for all portfolio positions.	Valuation, Asset Existence & Investor Reporting
30	Internal pricing supported by external valuation agents: Administrator does not receive associated reports independently.	Valuation, Asset Existence & Investor Reporting
31	The Administrator is not responsible for the distribution of audited financial statements to investors.	Valuation, Asset Existence & Investor Reporting
32	The Administrator does not receive audited financial statements directly from the auditor.	Valuation, Asset Existence & Investor Reporting

Remediation & Monitoring

Required Before Close

#	Issue	Priority	Target	Investor Action
1	Appoint a third-party fund administrator for the Master Fund under a full-service agreement	High	Pre-subscription	Require written commitment; escalate if not resolved
2	Align accounting principles and auditing standards between the Fund and Master Fund	High	Pre-subscription	Require written commitment
3	Ensure valuation agent reports are sent directly to NCIS (preferably from Harbinger directly)	High	Pre-subscription	Require written commitment and process documentation
4	Remove the Executive VP / COO from the investment committee or appoint a dedicated CCO independent of the investment function	High	Pre-subscription	Require written commitment
5	Transfer oversight of the investment allocation process from the investment committee to an independent compliance function	High	Pre-subscription	Require written commitment
6	Establish back-office review of material valuation model assumptions, calculations, and referenced inputs	Medium	Pre-subscription	Confirm process documentation
7	Confirm whether Colm MacFarland participates in the Fund's performance fees	Medium	Pre-subscription	Require disclosure

Post-Close Monitoring

#	Issue	Priority	Target	Investor Action
8	Monitor progress toward administrator appointment for Master Fund	High	Ongoing	Annual review
9	Monitor Master Fund redemption activity, gate application, and liquidity mismatch	High	Ongoing	Quarterly review of redemption activity and cash buffer
10	Monitor Fund performance relative to high water mark (YTD December 31, 2023 return: -3.5%)	Medium	Ongoing	Quarterly review

#	Issue	Priority	Target	Investor Action
11	Monitor system expense pass-through to the Fund	Medium	Ongoing	Annual review of audited expense disclosures
12	Monitor progression toward addressing Master Fund self-administration gap	Medium	Ongoing	Annual review
13	Monitor Principal Program promotions and succession depth at Havencrest	Low	Ongoing	Annual review
14	Monitor departures (Edward Aldridge, Shanaya Doherty) and impact on team continuity	Low	Ongoing	Annual review
15	Monitor new product launches (Havencrest Real Estate Opportunistic Strategy) and any impact on flagship Fund attention	Low	Ongoing	Annual review
16	Implement minimum holding period for personal trading	Low	Ongoing	Annual review

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Chapter 1

Manager, Ownership & Governance

GREEN

Chapter 1: Manager, Ownership & Governance

Management Company and Affiliates

Pembroke, Walker & Ross Funds Inc. ("PWRFI", together with its affiliates, the "Manager") serves as Manager and is headquartered in Toronto (Canada). PWRFI commenced operations in 2012. Alpine notes that PWRFI is an affiliate under the broader Pembroke, Walker & Ross Financial Group Ltd. ("PWRFG", together with its affiliates, "PW&R") organization.

Alpine notes that there are multiple investment management affiliates within the PWRFG group of companies, including Global Vista; NR Partners; Valedge; Sawyer, Randall & Associates Investment Management Ltd.; PCR Investment Counsel Ltd.; Baxter Gilmour & Associates Inc.; Bramble Capital Partners; PCQ Partners; Zenith Capital; Havencrest Real Estate Investments Ltd. ("Havencrest"); Pembroke, Walker & Ross Infrastructure Management Partnership; PWRFI; and Pembroke, Walker & Ross Investment Management Ltd. ("PWRIM"), which is the largest affiliate. Alpine understands that the aforementioned affiliates focus on investment management activities and draw upon PWRFG for non-investment related functions (over 300 staff). PWRFG is based in Vancouver, with additional offices in Toronto (Canada), Montreal (Canada), London (UK), Chicago (IL), Norwalk (CT), and Gurugram (India).

To the above point, Alpine notes that PWRFI has delegated investment management functions for the Havencrest Institutional Real Estate Trust to Havencrest, with all non-investment related functions (i.e. business management services including portfolio accounting, trade operations, IT, legal and compliance, marketing, etc.) carried out by PWRFG. As such, the scope of this report will include discussions on both Havencrest and PWRFG.

Havencrest was founded by Kenneth Lawson (President / Chief Executive Officer ("CEO") - Havencrest) in 2010 and is headquartered in Toronto (Canada). Havencrest specializes in private real estate investments for institutional and high net worth investors. Havencrest is 50% owned by PWRFG and 50% owned by Havencrest's Partners (described further below in *Ownership*).

By way of background, PWRIM was founded in 1982, and, at the onset, operated an asset management business, with all non-investment functions housed within the PWRFG umbrella. In the 1990s, the firm's partners decided to leverage the existing infrastructure to partner with external managers and onboard them onto the PWRFG platform under a "hub and spoke" operating model. As this business was attracting a growing number of external asset managers, the Manager realized that offering such services under the PWRFG umbrella was not scalable, and decided to spin out this business management services unit into PWRFG in 2003.

PWRIM's Form ADV, Schedule D, Section 7. A. Financial Industry Affiliations also list numerous affiliated management company entities that serve as the general partners to other firm products. Overall, investors should note that a large number of management entities adds to the overall degree of operational complexity within the organization.

Looking forward, the Manager indicated that it expects to add a new affiliate within PWRFG. However, the Manager did not provide additional details noting that all compliance sign offs had not yet been received. Investors are encouraged to monitor developments in this area.

Assets under Management

Havencrest had assets under management ("AUM") of CAD 5.41 billion as at September 30, 2023, up 4.3% from CAD 5.18 billion as at September 30, 2022.

Havencrest launched its flagship fund, the Havencrest Real Estate Investments Limited Partnership, in 2011 to acquire a diversified portfolio of Canadian real property investments and real estate-related financial instruments.

In addition, Havencrest oversees nine separately managed accounts ("SMA") and co-investment vehicles which had a cumulative AUM of approximately CAD 1.5 billion as at September 30, 2023. The Manager indicated that SMAs may be established to follow bespoke mandates and may utilize different service providers than the commingled fund, creating additional operational complexity for the firm's back office. The Manager provided that the minimum investment size for an SMA is CAD 150 million.

In terms of new product launches, Havencrest is looking to launch Havencrest Real Estate Opportunistic Strategy, which will be offered through a closed-ended fund. The Manager noted that the expected first closing is by the end of Q1 2024 and the expected target raise is approximately CAD 300 - 500 million.

Across its affiliates, PWRFG had AUM of CAD 110.74 billion as at September 30, 2023, up 13% from CAD 98 billion as at September 30, 2022. The Manager indicated that the increase in AUM was due to a combination of positive performance and net capital inflows. Alpine reiterates that there are multiple investment management affiliates within the PWRFG group of companies that manage strategies across various asset classes, including equities, fixed income, private equity, private loans, commercial real estate and mortgages, and infrastructure.

Insider Investment

As at the time of issuance, the Manager had not provided the level of insider investment at the firm level. The Manager stated that the amount, however, does not represent a significant portion of the liquid net worth of Havencrest's principals. Investors should monitor the degree to which insiders choose to retain personal capital within the firm's products.

The Manager confirmed that insider capital invests pari passu to external investors except for management fees and carried interest.

Ownership

Havencrest is wholly owned by Havencrest Real Estate Investments Partnership, which in turn is 50% owned by PWRFG and 50% owned by Havencrest's Partners (Kenneth Lawson (President / CEO - Havencrest), Colm MacFarland (Executive Vice President ("VP") / Chief Operating Officer ("COO") - Havencrest), Marcus Reinhart (Executive VP / Head of Asset Management - Havencrest), and Brody Stenson (Executive VP / Head of Mortgage Investments - Havencrest)). However, the percentage ownership of individuals is not disclosed. Alpine highlights this limitation in its due diligence process.

The Manager stated that PWRFG is a privately held company owned by individuals who are directly connected with the business, and there are no external investors. However, the ownership breakdown was not disclosed. Alpine highlights this limitation in its due diligence process. Alpine understands that the ownership interests in PWRFG are widely held, with no individual or entity owning 25% or more.

The Manager noted that in 2017, Havencrest introduced a "Principal Program", which the Manager represented as conceptually a stepping stone to becoming a Partner in the firm. To date, two members of the team (Marcus Reinhart in January 2021 and Brody Stenson in January 2023) have been promoted to Partner. Havencrest expects another

one to two individuals to make that transition in the next 12 to 24 months. Investors are encouraged to monitor developments in this area.

Alpine notes that Havencrest has not established a formal succession plan and that the Manager does not carry key person / life insurance. In practice, the Manager represented that the succession planning has been integrated into nearly all aspects of the firm's investment, asset management, and operational elements of the business. In practice, should anything happen to one of Havencrest's Partners, the Manager stated that the other Partners have the experience and knowledge to continue to operate the firm and would look to find a replacement with the assistance of PWRFG. Furthermore, the firm stated that both Wesley Sutherland (CEO - PWRFG) and Martin Frank (Chairman - PWRFG), who both sit on the investment committee and Board of Havencrest, collectively have over 50 years of experience in real estate and in running asset management companies and could step in as required. In light of Havencrest and PWRFG's depth at the senior management level and the financial resources available to the firm, Alpine does not consider this a significant issue.

Human Resources

As of Q1 2024, Havencrest has over 40 investment professionals and is supported by over 300 professionals at PWRFG in non-investment functions.

Havencrest noted that it has two interns, who are subject to the same compliance policies as those applicable to permanent employees.

With respect to notable departures at Havencrest, Alpine notes that Edward Aldridge (former Executive VP / Head of Investments - Havencrest) and Shanaya Doherty (VP of acquisitions and asset management - Havencrest) departed in Q1 2024 and Q3 2023, respectively, for other opportunities. Havencrest confirmed that all departures were amicable, with no ensuing litigation.

In terms of notable hires, Rachel Henley (Manager - Development - Havencrest), Nina Sharma (Manager - Development - Havencrest), and Amelia Kopelow (Manager - Asset Management and Investments - Havencrest) joined in Q2 2023, Q4 2023, and Q4 2023, respectively.

Looking forward, Havencrest represented that it expects to add a VP in Q1 2024 and will hire staff opportunistically.

At the broader organization level, Alpine notes that Mason Gilcrest (Head of Research - Quantitative Equity - PWRIM) is married to Julia Cheng (Senior Analyst - Quantitative Equity - PWRIM). The Manager confirmed that they are not involved in the cash management and treasury cycle, nor do they directly report to one another. While no material concerns over the segregation of duties were identified, Alpine generally prefers not to see nepotism within an investment management organization to avoid potential internal conflicts of interest and / or cases of favoritism: investors should be conscious of this dynamic.

Havencrest employs the firm's staff directly and indicated that it conducts background checks on all new hires, including references, education, credit, and criminal records with the assistance of an external background check provider, VerifyPro. PWRFG also conducts a monthly screening of all employees through the Thomson Reuters World-Check One Global Sanctions screening tool. This screens against publicly available financial crime, securities fraud data, and sanctions lists prepared by governments and other public sources of information such as newspapers and court records.

All staff are compensated with a base salary and discretionary bonus contingent on individual and firm performance. In addition, junior staff take part in the "Corporate Success Factor" program which awards outperformance, and the range varies by title (analyst (10%), manager (20%), and VP (30%)). Alpine notes that the firm has not implemented a deferred compensation program to support longer term staff incentivization for junior staff. Separately, Principals

receive "Principal Points", which is additional cash compensation comprised of four payments (25% each) vested over three years. Furthermore, as previously discussed in *Ownership*, Alpine understands that the firm created a new compensation program in 2017, the "Principal Program", which is intended to provide another layer of investment personnel (non-partners) with many of the same incentive and retention dynamics created through the partnership structure.

Douglas Ferris serves as the Chief Financial Officer ("CFO") at Havencrest, however, is technically an employee at PWRFG. Furthermore, Colm MacFarland serves as COO of Havencrest. Alpine reiterates that Havencrest leverages non-investment related functions of PWRFG. To this point, the PWRFG accounting team (comprised of 11 members) is led by Douglas.

Human Resources - PWRFG

As at January 31, 2024, PWRFG had a total headcount of 352.

In addition to permanent employees, the Manager represented that PWRFG hires interns on a regular basis. As at the time of Alpine's meeting (February 2024), PWRFG has three interns who are subject to the same compliance policies as those applicable permanent employees.

In terms of significant turnover at PWRFG in the past year, Alpine highlights that Caroline Stirling (former Head of Enterprise Projects) resigned in July 2023, with the firm hiring Julian Donahue as the replacement in January 2024. The Manager confirmed that the departure was amicable, with no ensuing litigation. In addition, PWRFG hired Delia Brackett (Head of Human Resources) and Christopher Farris (Managing Director - Institutional Distributions) in December 2022 and April 2023, respectively, which are both newly created positions. Furthermore, Brandon Torres (Director - Investment Resources Group) was hired in December 2023 to replace Adrian Leverett who will retire by the end of February 2024.

Looking forward, the Manager represented that there may be retirements that need replacing in the following years. Specifically over the next 12 months, PWRFG will look to hire opportunistically across the firm and did not note any expected plans to fill any key positions.

Chapter Summary

GREEN

Overall, no material diligence issues were identified at the management company level, which supports Alpine's Green rating for *Manager, Ownership & Governance*. Alpine nonetheless highlights the non-disclosure of specific ownership percentages among the Partners, the absence of a formal succession plan and key person / life insurance, and the related / married Quantitative Equity team members at PWRIM (Mason Gilcrest and Julia Cheng).

ALPINE

Chapter 2

Legal, Regulatory & Compliance

GREEN

Chapter 2: Legal, Regulatory & Compliance

Regulatory Oversight

PWRFI is registered with the Ontario Securities Commission ("OSC") as the primary regulator and registered as an Investment Fund Manager and Exempt Market Dealer. Havencrest Asset Management Ltd. is registered with the Canadian Securities Administrators ("CSA") as its primary regulator.

Alpine understands that affiliates under the PWRFG business are regulated by a range of local regulatory bodies across the countries in which the firm operates. Notably, the firm's largest affiliate, PWRIM, is registered with the British Columbia Securities Commission ("BCSC") as the primary regulator and is separately subject to oversight from the Canadian Securities Administrators and Autorité des Marchés Financiers. PWRIM has also been a registered investment adviser with the United States Securities and Exchange Commission ("SEC") since April 17, 2014.

The Canadian Financial Transactions and Reports Analysis Centre of Canada ("FINTRAC") completed an audit on PWRIM in October 2017. No material deficiencies were identified. A copy of FINTRAC's exit letter, dated October 17, 2017, was previously made available to Alpine for review via screenshare and corroborated the Manager's assertion on the matter.

BCSC also initiated a regulatory audit of PWRIM in November 2016 and concluded in Q2 2017. The Manager previously represented that it was asked by the regulator to disclose the partners' directorship positions in other firms, formalize a policy on its use of certain benchmarks, and update certain policies and procedures regarding partners' outside business activities. PW&R added that it revised policies and procedures accordingly. Copies of BCSC's exit letter (dated March 8, 2017), PWRIM's response (dated April 20, 2017), and BCSC's closing letter (dated April 25, 2017), were made available to Alpine during a previous onsite and corroborated the Manager's assertion on the matter.

Previously, PWRIM was subject to an audit by the Autorité des Marchés Financiers in November 2016, which was concluded in Q2 2017. The Manager represented that the audit did not yield any material findings. A copy of the letter, dated April 11, 2017, was made available to Alpine during a previous onsite and corroborated the Manager's assertion on the matter.

Alpine highlights that on multiple occasions, PWRIM was notified of penalty fees of NOK 20,000, SEK 10,000, and NOK 40,000 in March 2019, September 2019, and February 2021, respectively, for the late reporting of short positions in Sweden and Norway that occurred between July 2017 and April 2020. The Manager represented that the short positions were submitted by PWRIM's third-party service provider, Transpac Services ("Transpac"), one to two days after the reporting deadline. PWRIM further noted that the delays were generally due to the service provider submitting incorrect outstanding shares information combined with time zone differences between PW&R (Canada), the regulators (Europe), and the service provider (Australia). The missing filings were identified by PWRFG's operational controls and reported to the regulators. The Manager previously indicated that it replaced the service provider with Transpac in April 2020 and PW&R has implemented additional audits and controls.

Havencrest has had no regulatory investigations in the last five years.

As at the time of issuance of this report, the Manager had not yet confirmed if any of PWRFG's other affiliates had been subject to a regulatory examination in the past five years.

Compliance Infrastructure and Policies

Alpine highlights that Havencrest does not have a dedicated CCO, with Colm MacFarland (Executive VP / COO - Havencrest) taking responsibility for compliance oversight in addition to his role as Executive VP and COO. Alpine understands that Colm is the sole individual responsible for compliance at Havencrest and that the firm leverages PWRFG personnel (a team of 11) for compliance functions. Moreover, Preston Richardson (General Counsel) and Sabrina Jameson (Director - Operations Risk) lead the legal & compliance and portfolio compliance team, respectively, at PWRFG. Havencrest could usefully consider hiring a dedicated CCO, who would assume responsibility for monitoring and improving the culture of compliance within the organization. This is a common industry practice for managers with over \$1 billion in AUM.

PWRFG also has access to external compliance consultants, Marlowe & Crane LLP ("Marlowe & Crane") and Beacon Compliance Services ("Beacon"), who are used to support the firm's compliance program. The Manager represented that Beacon conducts regulatory mock audits for PWRFG's U.S. and UK affiliates. The most recent mock audit was performed in 2023 for the firm's UK affiliate (NR Partners) and generated no material findings.

Havencrest maintains a written Corporate Governance policy (known as the "Compliance Manual") dated May 2019, which was made available to Alpine for review via soft copy. Alpine would prefer Havencrest to update the policy on a periodic basis. The manual is comprehensive and covers key compliance policies and procedures. Staff at both PWRFG and Havencrest are required to read the compliance manual and sign a declaration to confirm their agreement to comply with the policies and procedures upon joining the firm and annually thereafter.

The Manager has implemented an annual compliance training program by the internal compliance team. The most recent training session was held in 2023 and covered general compliance policies as well as industry hot topics.

Personal Trading

Havencrest has a personal trading policy within its Corporate Governance policy. Employee personal trading is permitted, subject to pre-clearance from compliance using MyComplianceOffice ("MCO"). Alpine noted that the firm previously used SunGard Personal Trading Assistant and changed its compliance system to MCO in early 2023 due to its efficiency and robustness. However, Alpine highlights the system change is not reflected in the personal trading policy, which Alpine suggests Havencrest update. The policy indicates that some securities are exempt from pre-clearance procedures, including open-ended mutual funds, securities issued by the Government of Canada or the United States, money market instruments, options, futures, or other derivatives on any broadly based market indices, iShareindex funds, exchange traded funds, investment funds traded on a recognizable exchange, and physical commodities or securities relating to those commodities. In addition, Alpine notes that the personal account dealing policy does not include a minimum holding period on transactions. The implementation of a minimum holding period eliminates the appearance of conflicts of interest associated with short-term trading activity.

Employee brokerage statements are received independently through automated feeds using MCO. The Manager indicated that, overall, personal trading activity is limited across the organization.

Trade Errors

Due to the nature of its investment strategy, trade errors are not anticipated, and Havencrest has not implemented a specific trade error policy.

Soft Dollars

Havencrest confirmed that it does not engage in soft dollars.

Expert Networks

Havencrest confirmed that it does not use the services of consultants linked to expert networks.

Anti-Money Laundering / Know Your Customer

The Manager indicated that anti-money laundering ("AML") and know your customer ("KYC") verifications are conducted internally by PWRFG, rather than by third party administrators. Alpine understands that PWRFG's sales team would be responsible for collecting the information, and the compliance team would generally verify all subscription identities to the OFAC checklist and identify all underlying investors. Alpine understands that this is standard practice in Canada.

Claims, Actions, and Conflicts

The Manager represented that *"No employee or company has been subject to civil or criminal litigation. The firm has ongoing lawsuits from time to time, mainly related to its investment properties, but is not party to any litigation that would have a material impact on the firm's business."*

Apart from the above, the Manager represented that neither the management company, its affiliates nor any of its employees have been the subject of any action, claim, investigation, or litigation. Alpine recommends that investors conduct a periodic background check on the Manager, any relevant affiliates, and senior employees to verify this representation.

Havencrest maintains a formal restricted list, which contained approximately three names (all related to real estate) at the time of Alpine's review (February 2024).

Havencrest indicated that Kenneth (President / CEO - Havencrest) owns a small commercial property which is not in conflict with the firm's products. Moreover, without providing granular details, the firm stated that certain senior employees maintain external business interests. Havencrest confirmed that none of the activities take a material portion of its employees' time and the firm requires pre-clearance of all outside business interests from compliance.

Havencrest has a combined Directors' and Officers' / Errors and Omissions ("D&O / E&O") insurance policy to protect the Manager and Directors against claims or litigation for unsatisfactory or negligent management with total coverage of CAD 20 million. The Manager indicated that the cost of the policy is absorbed by the firm. Moreover, Havencrest confirmed that no claims have been made against the policy.

Chapter Summary

GREEN

Overall, Havencrest has implemented an adequate compliance framework, with no material deficiencies identified across key policies and procedures. This supports Alpine's Green rating for *Regulation and Compliance*.

ALPINE

Chapter 3

Technology, Cybersecurity & Business Resilience

GREEN

Chapter 3: Technology, Cybersecurity & Business Resilience

IT Overview

Alpine notes that Havencrest leverages PWRFG's IT infrastructure, which is led by Mitchell Marston (Principal / Director - Information Systems) who is assisted by 96 IT professionals. Moreover, the firm uses 10 IT consultants (SS&C Advent, Citrix, Cisco, First Derivatives, Microsoft, Palo Alto, Charles River, Insight, Pwerland, and Pure Storage), which are engaged on a retainer basis.

The Manager represented that the firm adopts a hybrid IT infrastructure. While the firm utilizes Microsoft Azure and SharePoint, PWRFG has a data center maintained in a secured room within its Vancouver headquarters. The Manager noted that the room is provided with dedicated air conditioning and uninterruptible power supplies with access to limited IT personnel. The rest of the firm's offices remotely connect to this production environment.

It was noted that the firm maintains strict authorization rights around the source code for quantitative trading algorithms, including both testing and production environments. Mitchell Marston (Principal / Director - Information Systems) is notified of ongoing changes to the model, which must be signed off by senior portfolio managers in order to move from testing to production environments.

In terms of backup procedures, PWRFG's production servers are replicated to an alternate server environment maintained in the firm's Toronto office on a daily basis. Moreover, while trading data and accounting data are backed up every 15 minutes, SharePoint is backed up on a real time basis. The Manager previously indicated that the firm's servers are backed up to tape on a weekly basis, with the media removed by Iron Mountain, a third party secure storage provider.

Cybersecurity Controls

The Manager maintains a formal Information Security Management policy, dated January 2023, a summary of which was provided to Alpine to review in soft copy. The firm has aligned its controls and security policies with the International Organization for Standardization ("ISO") 27K cybersecurity framework. Alpine is pleased to see the Manager following a regimented approach to cybersecurity. The Manager maintains its incident response plan within the Business Continuity Plan ("BCP"), a summary of which was provided to Alpine in soft copy. Alpine is pleased to see the Manager acknowledge the risk of security breaches.

Alpine notes that the firm also engaged an extensive list of third party cybersecurity consultants including IBM, Northford Digital, Mimecast, Thycotic / Delinea, Authentic8, KnowBe4, Sentinel Advisory Group, and Sentinel Trap, with the majority on a retainer basis. PW&R benefits from the following external relationships for ad hoc cybersecurity processes:

- Sentinel Advisory Group's cybersecurity team reviews and recommends cybersecurity improvements on an annual basis;
- Marlowe & Crane completes an International Standards for Assurance Engagements (ISAE) Section 3402 report on an annual basis; and
- Ongoing security technology assessments using third party security vendors.

The firm has also instituted a cybersecurity training program with custom training videos provided quarterly, and new hires are required to attend a live one hour security awareness session with the IT team. The Manager provided that the latest session was held on December 14, 2023. Training sessions include discussions on cybersecurity related matters and best practices as well as monthly phishing tests.

PW&R has implemented a data loss prevention program that includes enforced user access controls to applications and sensitive data by function. Moreover, the firm enforces password updates (every 90 days) in adherence with the password policy's rules and restrictions, including complexity requirements and restrictions on password recycling and sharing. The Manager has also implemented an internal data loss prevention solution that protects against sensitive data from the firm's endpoint devices (i.e. desktops, laptops, smartphones, and / or tablets) being transferred outside the network (i.e. access to removable drives, personal email accounts, and personal cloud storage accounts) without the firm's knowledge.

The Manager has implemented adequate network security controls to prevent external cybersecurity attacks including a firewall, intrusion detection system, antivirus protection, malware detection, and anti-spam protection solutions (Mimecast). PW&R indicated that it periodically rotates the third party providers that conduct penetration testing annually. The firm represented that the latest test was conducted on August 18, 2023, by Sentinel Trap and generated no material findings.

Disaster Recovery / Business Interruption

PWRFG has a written BCP, dated February 2023, for which a summary was provided for Alpine to review in soft copy. The Manager indicated that the BCP is tested at least annually, with the most recent full failover test on September 27, 2023. The firm represented that no material deficiencies were identified during the test.

The Manager noted that in the event staff are unable to access the firm's premises, employees are equipped with mobile email devices and laptops that could be used remotely to log in to the firm's servers using a VPN connection secured by dual factor authentication.

Chapter Summary

GREEN

The Manager has implemented an adequate cybersecurity framework and IT infrastructure, which supports Alpine's Green rating for *Information Technology*.

ALPINE

Chapter 4

Fund Structure, Terms & Investor Alignment

RED

Chapter 4: Fund Structure, Terms & Investor Alignment

Legal Structure

Havencrest Institutional Real Estate Trust (the "Fund") was established as a trust in British Columbia on November 7, 2012, and commenced operations on April 29, 2013. The Fund invests as a feeder into an underlying master fund, Havencrest Real Estate Investments Limited Partnership (the "Master Fund"), which was established under the laws of the Province of Ontario on November 30, 2010. Private Client Real Estate Portfolio ("Private Client Trust"), a trust established under the laws of British Columbia, serves as the feeder entity for high net worth investors. In addition, Alpine notes that certain investors invest directly in the Master Fund. The Manager confirmed that such investors are subject to identical terms as investors in the feeder entities, however, are subject to a different fee schedule.

Northern Crown Investor Services serves as Trustee to the Fund.

Assets under Management - Fund Level

The Fund had AUM of CAD 1.92 billion as at September 30, 2023. Additionally, the Master Fund had AUM of CAD 2.8 billion as at September 30, 2023, up 1.82% from CAD 2.75 billion as at September 30, 2022. The Manager attributed the increase in both the Fund and the Master Fund's AUMs to the combination of positive performance and capital inflows.

As at December 31, 2023, the Fund had generated a year to date return of -3.5%. As such, Alpine highlights that the Fund may be below its high watermark and will not generate incentive fee income until it is recovered. Investors are encouraged to monitor any potential further decline in the Fund's AUM and performance going forward.

Corporate Governance

Trusts do not operate under the supervision of a board of directors. As a result, there is no possibility of independent oversight equivalent to what is usually accomplished by the Board of Directors of an offshore fund structured as a corporation.

Alpine highlights that the Master Fund was formed as a limited partnership ("LP") rather than a corporation. While an LP arrangement might have tax benefits for the Manager, Alpine notes that the underlying Master Fund has no Board of Directors and is controlled by its general partner. As such, there is no external corporate governance over the Master Fund. In addition, any liquidation of the Master Fund would take place in accordance with Ontario regulations applicable to partnerships, rather than corporations. Although the LP structure has become a popular option, Alpine highlights these issues.

In partial mitigation, Alpine notes that the General Partner of the Master Fund has established an Advisory Committee comprised of two independent members: Silas Norvall (President / CEO - CSC Student Communities Corp) and Priscilla Stratford (former CEO of Cornerstone Canada Financial Corp). The primary function of the Advisory Committee is to review and approve the NAV calculation of the portfolio on a quarterly basis (or more frequently as required), as well as to review every proposed non - Fund purchase and / or prospective co-ownership opportunity to ensure that no conflicts of interest exist for the Fund.

While Alpine appreciates the Manager's endeavor to provide independent oversight at the Master Fund level, investors should be aware that they are reliant on the enforceability of such powers in the event of a legal dispute. Overall, Alpine commends the Manager for taking this action to improve governance.

Terms

The Fund offers units denominated in CAD.

Alpine highlights that the Fund is a hybrid vehicle that holds Level 3 assets. It is unusual for such a vehicle to hold illiquid assets. To that point, Alpine notes that the Fund offers monthly redemptions (at a 10% discount of NAV) and quarterly redemptions (discussed below), at the discretion of the Manager. Alpine highlights that with an average 5-6 year holding period for assets, it may take a considerable amount of time for investors to redeem from the Fund. In Alpine's view, a closed-ended vehicle is a more appropriate structure to support a strategy that holds solely Level 3 assets. Investors should not allocate to the Fund unless comfortable with the inherent risk associated with the Fund's structure.

Points of interest in the offering documents:

- The Fund does not have a key person provision in the event that a key person is incapacitated or otherwise no longer involved in the management of Havencrest's assets. Alpine would welcome an amendment to the Fund's terms to include specific key person provisions.
- The Fund's Term Sheet, dated September 2021, notes that investors can redeem quarterly (with no discount) or monthly (with a 10% discount to the NAV). Furthermore, the Fund's Trust Agreement contains a Fund level gating provision which indicates that *"For greater certainty, any issuance of Units for the purpose of obtaining funds to satisfy all or part of the Monthly Redemption Price or the Quarterly Redemption Price, as the case may be, shall be limited in number to 20% of the number of Units outstanding at the beginning of the fiscal year in which any redemptions occur."* Overall, Alpine highlights the inherent mismatch between the hybrid structure of the Fund and the illiquid portfolio. Alpine understands that the Manager aims to address such issues with discounts in terms of monthly redemption, as well as the fund level gate. Nonetheless, Alpine reiterates that the portfolio holds illiquid assets and highlights that this provision still does not provide any guarantee related to the maximum amount of time for investors to receive redemption monies.

While the Fund has issued side letters, none provide any preferential liquidity or reduced fees.

Fees and Expenses

The Fund's Term Sheet indicates that investors either pay i) a management fee of 1.15% of the NAV and an incentive fee of 20%, or ii) a tapered management fee rate based on the NAV of units held by the investor, and no incentive fee. The tapered annual rates are:

- 1.35% on the first CAD 10 million;
- 1.15% on the next CAD 10 million;
- 1.00% on the next CAD 15 million; and
- 0.85% on a balance over CAD 35 million.

Points of interest in the offering documents include expense items charged to the Fund:

- expenses incurred by the Manager, including marketing, commissions, travel, and other direct out of pocket expenses incurred in connection with the offering or issue of Units;

- fees and disbursements directly relating to the implementation of transactions for the Fund's portfolio.

In practice, the Manager indicated that research related travel fees and system expenses are borne by the Fund. Conceptually, Alpine is opposed to the Manager passing through system expenses, which Alpine typically views as the firm's overhead expenses. From Alpine's side, Alpine would have some preference to see the Manager pay for such items from the fixed management fee.

The Fund's expense ratio for the reporting period ending December 31, 2022, was 1.43 bps. Master Fund expense ratio (standalone) was 382.23 bps.

Investment Strategy

Through investment in the Master Fund, the Fund is a hybrid real estate vehicle that intends to acquire a diversified portfolio of Canadian real property investments and real estate related financial instruments. The Master Fund may directly or indirectly make investments in income-producing real property, and real estate related securities, including without limitation, office, retail and industrial properties, multi-unit residential dwellings, mortgages, mezzanine loans, and such other property or investments in Canada.

Havencrest indicated that it currently fully invests in Canadian properties (318 in total as at December 31, 2023). On the same date, the allocation of the Master Fund's portfolio across property sectors was office (22%), industrial (46%), retail (16%), and multi-family (16%). Additionally, the Manager noted that the majority (49%) of the properties are in Ontario (Canada). Havencrest indicated that the allocation has been consistent and it does not expect any material change to the portfolio composition in the near future.

Havencrest provided that the anticipated average investment size of transactions is CAD 20-100 million with an equity requirement of CAD 10-50 million, and the average holding period of each investment is 5-6 years. In addition, Havencrest stated that no single asset represents more than 25% of the market value of the Master Fund.

Alpine reiterates the inherent liquidity mismatch between the Fund's hybrid structure and the portfolio of Level 3 real estate assets. In Alpine's opinion, Alpine does not consider such a structure to be the appropriate vehicle for illiquid assets.

Chapter Summary

RED

Alpine highlights the inherent mismatch between the hybrid structure of the Fund and the illiquid portfolio. In Alpine's opinion, a closed-ended structure would be a more appropriate structure to invest in illiquid assets. Additionally, Alpine reiterates that the Master Fund has not appointed an independent administrator. Separately, Alpine highlights that system expenses are borne by the Fund in practice. These observations drive Alpine's Red rating for *Fund Structure, Terms & Investor Alignment*.

ALPINE

Chapter 5

Service Providers, Delegation & Oversight

YELLOW

Chapter 5: Service Providers, Delegation & Oversight

Administrator

Northern Crown Investor Services ("NCIS", the "Administrator") has been appointed to provide administration services for the Fund and Private Client Trust (including portfolio accounting, partnership capital accounting, and NAV calculation services) from its offices in Toronto (Canada) and Mississauga (Canada). Alpine highlights, however, that the Master Fund has not appointed an independent administrator: as such, investors are reliant on the Manager to maintain accounting books and records for the Master Fund. Alpine highlights that this is a significant issue as the Master Fund holds the portfolio assets and therefore there is no independent oversight over such assets. All Master Fund accounting records and investor reporting are prepared in-house by PWRFG's accounting team. Alpine notes that the failure of a hybrid fund vehicle to appoint an administrator is now exceptionally unusual post-Madoff, and highlights this material operational deficiency. Although this arrangement may be relatively common in older asset management firms, Alpine notes that it is no longer considered industry best practice.

While Alpine understands that PWRFG has significant resources, Alpine would strongly prefer the Master Fund appoint a third party administrator under a full service agreement to provide independent oversight over the activities of the Master Fund, in line with standard industry practice. The appointment of a third party administrator would serve to strengthen support around fund accounting, valuation, and most notably given the liquidity mismatch, investor capital accounting, and redemption activity. When inquired about why the firm did not engage an administrator at the Master Fund level, the Manager represented that given the private market nature / alternative asset class, a fund administrator was not deemed necessary for the Master Fund as Havencrest and PWRFG have the expertise and skills necessary to value and prepare the financial reporting for an operating entity of this nature.

At the time of issuance, a copy of the Fund's administration agreement had not been made available to Alpine for review.

Alpine also notes that NCIS is not independent of the Fund's service providers, since its affiliate serves as the Fund's custodian and banking counterparty and therefore generates revenue from the provision of such services to the Fund. In general, Alpine prefers to see administration servicing completed by an independent, third party provider.

Furthermore, Alpine highlights that PW&R utilizes multiple administrators across its product line, with Dominion Commercial Trust Services engaged to provide administrative services to some of PWRIM's funds. The Manager indicated that the rationale behind using multiple administrators is diversifying service provider exposure and engaging the providers according to their strategy expertise. While Alpine has no immediate concerns over either administrator's ability to provide adequate valuation services and accounting oversight over PW&R's funds, Alpine highlights that having different fund administrators inherently adds operational complexity for the firm.

Auditor

The Fund and Master Fund's auditor is Marlowe & Crane LLP ("Marlowe & Crane"), with fieldwork completed in Vancouver. Alpine notes that Marlowe & Crane has also been engaged to provide audit services to PW&R. Alpine would prefer to see the Manager engage a separate firm to provide audit services to the management company to avoid the appearance of a conflict of interest over the independence surrounding the Fund's audit.

Additionally, Alpine understands that Marlowe & Crane replaced Kingston Harmon LLP ("Kingston Harmon") as auditor effective end of 2019 for all PW&R products. PW&R previously noted that Kingston Harmon's service was deteriorating, and it had developed a relationship with Marlowe & Crane in other areas over the years and was impressed with the knowledge and depth of services provided. Consequently, the firm decided to consolidate accounting work within one firm and established its relationship with Marlowe & Crane.

Custodian, Counterparties & Bankers

Alpine notes that the Fund has a custodial relationship with Northern Crown Investor Services Trust. Moreover, the Fund maintains operating accounts with Northern Crown which are utilized to fund investments, pay non-investment related expenses, and process subscriptions and redemption activity.

The Master Fund has established a credit facility with Dominion Commercial Bank ("Dominion") to bridge capital calls, which is collateralized by a pool of approximately 20 unencumbered properties. The Manager stated that the capacity of the facility is CAD 160 million. As at the time of Alpine's review, CAD 50 million had been drawn, however, the Manager had not yet confirmed the interest rate and commitment fee on the facility.

Separately, the Manager represented that the accounting and asset management teams are responsible for monitoring debt covenants at the underlying property level. The Manager stated that there have been no defaults to date.

Chapter Summary

YELLOW

While NCIS has been appointed as Administrator for the Fund, the Master Fund has not appointed an independent administrator, which Alpine considers a material operational deficiency. Alpine also highlights that NCIS is not independent of the Fund's service providers (its affiliate serves as custodian and banker), and that PW&R utilizes multiple administrators across its product line. Alpine further notes that Marlowe & Crane provides both audit services to the Fund and Master Fund and audit services to the management company, which represents a potential conflict. These observations drive Alpine's Yellow rating for *Service Providers, Delegation & Oversight*.

ALPINE

Chapter 6

Investment Operations & Portfolio Controls

YELLOW

Chapter 6: Investment Operations & Portfolio Controls

Order Management & Trading

Given that the Master Fund does not engage in an active trading strategy, trading, accounting, and reconciliation issues relate to the flow of money to fund deals and distributions to investors.

The Manager uses ARES, its proprietary system, as the Portfolio Management System ("PMS"), as well as Origin as deal management system. In addition, PWRFG utilizes Yardi for portfolio accounting. The Manager represented that Yardi is a fully featured accounting system with double entry general ledger functionality.

NCIS confirmed that it maintains accounting books and records for the Fund using MPower. Alpine reiterates that the Master Fund's accounting books and records are maintained by PWRFG. Alpine reiterates its strong preference for the Master Fund to engage a third-party fund administrator as best industry practice.

Due to the nature of its investment strategy, the Master Fund's transaction volume is expected to be relatively low. In terms of the deal pipeline, the Manager represented that the number of deals closed per year changes depending on market conditions. However, on average, each year Havencrest reviews approximately 200 deals on a cursory basis, completes more detailed analysis on approximately 100 deals, submits offers for approximately 30 opportunities, and eventually closes 10-12 transactions.

Investment decisions are made by the investment committee, which is comprised of Kenneth Lawson (President / CEO - Havencrest), Colm MacFarland (Executive VP / COO - Havencrest), Martin Frank (Chairman - PWRFG), and Wesley Sutherland (CEO - PWRFG). Havencrest indicated that investment approval requires unanimous approval from the investment committee. Alpine highlights the appearance of conflicts of interest, with Colm MacFarland (Executive VP / COO - Havencrest) serving as a voting member on the investment committee as he also holds the role of COO and oversees compliance at Havencrest, which creates potential for segregation of duties issues. In partial mitigation of the above, Alpine notes that investment approval requires a unanimous vote and that Colm does not have a material impact on the decision-making process.

Alpine notes that Havencrest has recently formalized an allocation policy, dated January 2024, which was provided for review in soft copy. However, Alpine highlights that the investment committee (which includes Colm MacFarland, who is responsible for compliance at Havencrest) currently oversees the allocation process. Alpine would strongly prefer that the process be overseen by the compliance function. However, given that Colm also serves on the IC, Alpine notes that the allocation process would ultimately not be subject to independent oversight and would not be seen as a robust control unless segregation of duties is implemented.

The Fund may offer co-investment opportunities to investors to serve as overflow vehicles. In practice, co-investment funds are typically not allowed to invest or divest from an investment at different times than the commingled products. Furthermore, the Manager noted that co-investment vehicles are allocated operating expenses on a pro rata basis with the funds and charged similar fees.

Furthermore, Havencrest indicated that cross transactions are not permitted between funds and accounts.

Reconciliation

External to the firm, NCIS confirmed that it receives transaction information from the Manager, which is utilized to populate its accounting system. In turn, Alpine understands that the Administrator performs a monthly reconciliation of cash, positions, and transactions, to the custodian, and other counterparties. However, Alpine understands that NCIS reviews cash daily in practice.

Internal to the firm, the Manager's back office reconciles cash, positions, and transactions daily.

Asset Transfers & Treasury Operations

Alpine notes that the Fund has a custodial relationship with Northern Crown Investor Services Trust. All asset transfers from the Fund's operating accounts at Northern Crown are jointly controlled by the Administrator and Manager under a dual signature policy. In practice, online treasury systems are employed, which require two individuals from the firm's authorized signatories list to approve wire instructions, prior to being set up and released by the Administrator. In addition, the Administrator confirmed that it receives supporting documentation (e.g. original invoices) for all expense payments.

The Manager stated that authorized signatures include Kenneth Lawson (President / CEO - Havencrest), Colm MacFarland (Executive VP / COO - Havencrest), Martin Frank (Chairman - PWRFG), Wesley Sutherland (CEO - PWRFG), Malcolm Winters (Managing Director - PWRFG), Stephen Abbott (CFO - PWRFG), Anita Shaw (Controller - PWRFG), Preston Richardson (General Counsel - PWRFG), and Douglas Ferris (CFO - Havencrest).

As at the time of issuance, documentation evidencing contractual arrangements over asset transfers had not been made available for review. Therefore, Alpine was unable to confirm the Fund's authorized signatories.

Alpine highlights that financial institutions implement detailed clauses with respect to contractual liability within their agreements. As such, it may be unlikely that a counterparty would be contractually obliged to repay a fund in the event of an erroneous cash transfer, and financial institutions may decline to be held to a binding contractual obligation to verify dual signature authorizations (especially for non-web-based instructions, such as faxed or scanned instructions). In mitigation, Alpine understands that all wire transfers are processed through online treasury systems.

Alpine also notes that the addition of new payment instructions and wires over a materiality threshold are subject to a verification call back process. The implementation of this additional control serves to increase the robustness of the treasury cycle.

The Manager stated that dual signatures are required to open a bank account in the name of the Fund.

Asset Existence

Alpine highlights that the Fund's investment strategy creates unavoidable custody and existence risk as portfolio investments are evidenced by private agreements, which are not subject to traditional custody safekeeping and typically consist of closing documentation and legal contracts (e.g. purchase and sale agreements, etc.) that are maintained electronically by the Manager, with copies held by external legal counsel.

Alpine highlights the Fund's hybrid structure, whereby investors can subscribe and redeem from the Fund on NAV dates with no external oversight over existence from the Administrator. From an existence perspective, several parties are expected to be involved in each transaction to ensure all investments are genuine. As such, any attempt to create a fictitious asset would require collusion among a number of Havencrest and PWRFG professionals and external parties. In addition, the firm confirmed that an external valuation agent pays site visits to properties under

review (i.e. at least once every two-year mandate), providing some comfort regarding asset existence. Furthermore, Alpine understands that Marlowe & Crane as auditor tests the portfolio at year-end for existence on a sample basis.

Nonetheless, Alpine highlights the misalignment regarding the frequency of asset existence validation, conducted by the auditor (at year end only) and by the third party valuation agents (at least once every two years), which is far below best practices in light of the Fund's hybrid structure: procedures supporting asset existence are expected to be aligned with the reporting and redemption cycle. As such, Alpine would have a strong preference for additional procedures to be added that are aligned with the Fund's quarterly reporting cycle.

Chapter Summary

YELLOW

Alpine highlights the misalignment regarding the frequency of asset existence validation, conducted by the auditor (at year end only) and by the third party valuation agents (at least once every two years), which is far below best practices in light of the Fund's hybrid structure. Additionally, Alpine highlights that the Master Fund has not appointed an independent administrator, and that Colm MacFarland oversees both operations and compliance while serving on the investment committee. The firm utilizes proprietary system infrastructure (ARES) for portfolio management. These observations drive Alpine's Yellow rating for *Investment Operations & Portfolio Controls*.

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Chapter 7

Valuation, Asset Existence & Investor Reporting

YELLOW

Chapter 7: Valuation, Asset Existence & Investor Reporting

Valuation Controls

The portfolio introduces high valuation risk given the allocation toward real estate assets in a hybrid structure.

Havencrest has an undated valuation policy which was made available for Alpine to review in soft copy. Alpine would prefer the policy to be dated to reflect the frequency of updates. The policy provides a baseline description of the valuation process and identifies the parties involved in the valuation process.

The Manager has a valuation committee, the "Advisory Committee", which consists of two independent members: Silas Norvall (President and CEO of CSC Student Communities Corp) and Priscilla Stratford (former CEO of Cornerstone Canada Financial Corp). The Manager represented that both Silas and Priscilla are seasoned, well respected real estate industry professionals with a thorough understanding of the issues that impact real estate and mortgage values. The primary function of the Advisory Committee is to review and approve the NAV calculation of the portfolio on a quarterly basis (or more frequently as required), as well as to review every proposed non-Fund purchase and / or prospective co-ownership opportunity to ensure that no conflicts of interest exist for the Fund. The Advisory Committee is responsible for reviewing and approving internal valuations. The Manager confirmed that meeting minutes are formally documented. Alpine was able to review sample committee minutes, dated November 14, 2023, in soft copy.

Internal to the firm, the Manager's pricing process is conducted on a quarterly basis by Havencrest's asset management team. Investments are typically held at cost for at least one quarter and subsequently priced on a quarterly basis using comparable sales, discounted cash flow ("DCF"), and direct capitalization methodologies. Alpine notes that the back office function does not review proposed valuations of private securities held at fair market value as determined by front office investment professionals. Alpine would prefer to see the back office perform a review of material model assumptions, a validation of the accuracy of calculations and referenced inputs, as well as a review for consistency over time.

The Manager currently engages with Harbinger Realty Advisors ("Harbinger") as an independent third-party valuation agent to price the Fund's portfolio at least on an annual basis under a full valuation review. As such, the valuation agent undertakes a full pricing analysis, including selecting model inputs and assumptions, and provides a specific value with no price received from the Manager. Alpine understands that Harbinger prices 25% of the portfolio each quarter, completing a valuation of the entire portfolio annually. Havencrest represented that typically its internal pricing of properties held at fair market value falls within the range calculated by the external agent. Additionally, Havencrest indicated that Harbinger pays site visits to properties under review as part of its pricing process. Specifically, the Manager stated that the appraiser visits every property at minimum once per appraisal mandate. Therefore, for a two year mandate, they will inspect the property on the first calendar year of the mandate, and potentially during the second year of the mandate. If anything, material has changed at a specific property, the appraiser would make sure to tour it again during the second year. Alpine notes that the firm typically rotates the third party valuation agent every two years. To this point, the firm stated that it has engaged external valuation agent previous providers in earlier years.

Furthermore, the Fund's auditor, Marlowe & Crane, reviews valuations at year end on a sample basis and has direct access to the valuation agent in case it has any queries. Havencrest indicated that it provides supporting information on each portfolio company's valuations and the auditor independently reviews for reasonableness and may have

their owner comparative sources.

Given the allocation to Level 3 assets, it is notable that the Fund's Administrator provides limited external oversight with respect to the valuation of the Fund's portfolio and accepts pricing from the Manager at each quarter end. With respect to external valuation agent reports, both the Manager and Administrator confirmed that NCIS does not receive a copy of the valuation agent reports. Alpine would strongly prefer for the Administrator to receive the valuation agent reports (preferably from the valuation agents directly), which would provide a degree of independent oversight and validation over the pricing of private securities. Furthermore, Alpine reiterates that the Master Fund has not appointed a third party administrator, which falls below industry best practice.

Net Asset Value Controls

The Administrator is responsible for issuing the Fund's quarterly NAV to investors within 60 days of quarter end.

All unitholder records are maintained by NCIS in its Toronto office using the L&T Infotech Unitrax software.

Separately, the Manager noted that it maintains in house investor level accounting records for the Fund in its Advent Portfolio Exchange software.

The Manager and the Administrator both represented that the Fund has never issued an erroneous net asset value.

Financial Reporting Controls

PW&R engaged Marlowe & Crane to perform a SOC I audit for the period from December 1, 2021, to November 30, 2022 on PWRIM. Alpine notes that the report also covers relevant aspects provided by PWRFG. The corresponding report, dated January 30, 2023, was made available to Alpine for review, and no material exceptions were noted.

Alpine has reviewed the Fund and Master Fund's audited financial statements for the year ended December 31, 2022. The accounts for the Fund were prepared under IFRS and received an unqualified opinion dated May 18, 2023. Alpine notes that there is a short delay in the issuance of the audited financial statements for the Fund. To this point, Havencrest stated that Marlowe & Crane typically completes the financial statements for the Master Fund before those for the Fund are completed, and as such, the financial statements for the Fund are typically finalized in May.

As a point of interest, Alpine notes that the audit opinion for the Master Fund indicates that the accounts were prepared *"in accordance with the financial reporting provisions of Article 10 and Schedule A of the amended and restated Limited Partnership Agreement, dated December 29, 2022, between the Partnership and its partners (the "Limited Partnership Agreement")."*

Furthermore, Alpine highlights that the audit opinion for the Master Fund's audited financial statements includes an *"Emphasis of Matter - Financial Reporting Framework"* paragraph, stating that: *"We draw attention to Note 2 in the financial statements, which describes the applicable financial reporting framework. The financial statements are prepared to assist the Partnership to meet the requirements of the Limited Partnership Agreement. As a result, the financial statements may not be suitable for another purpose. Our opinion is not modified in respect of this matter."* Investors are encouraged to refer to Note 2 of the financial statements for further detail on this matter.

Alpine highlights that the accounting principles and auditing standards for the Fund and Master Fund are not consistent. Alpine notes that the Fund's audited financial statements for the year ended December 31, 2022, have been prepared under IFRS and generally accepted auditing standards ("GAAS"), while the accounts for the Master Fund have been prepared using accounting principles in accordance with the offering document and Canadian GAAS. Alpine highlights this inconsistency, which may not be fit for investor purposes.

Alpine highlights that the Manager is responsible for distributing the Fund's audited financial statements to investors. Alpine would prefer for the Manager to align its procedures with industry best practices and have NCIS responsible for this process. This will provide greater assurance and add to Alpine's confidence over the authenticity of the financial statements received by investors.

Chapter Summary

YELLOW

The Administrator (NCIS) provides limited external oversight with respect to the valuation of the Fund's portfolio and accepts pricing from the Manager at each quarter end. NCIS does not receive a copy of the valuation agent reports from Harbinger. The back office does not review proposed valuations of private securities. In addition, the accounting principles and auditing standards for the Fund and Master Fund are not consistent. Finally, the Manager (not NCIS) is responsible for distributing audited financial statements to investors. These observations drive Alpine's Yellow rating for *Valuation, Asset Existence & Investor Reporting*.

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Chapter 8

Manager Transparency & LP Communications

GREEN

Chapter 8: Manager Transparency & LP Communications

Transparency Summary

No material issues were noted with respect to transparency during the due diligence process, supporting Alpine's Green rating for *Manager Transparency*. However, Alpine notes that it was unable to review the Fund's administration agreement and documentation evidencing contractual arrangements over asset transfers at the time of issuance.

Chapter Summary

GREEN

Overall, the Manager was cooperative and forthcoming with documentation and information. The limitations with respect to the administration agreement and asset transfer documentation are captured separately in *Service Providers* and *Investment Operations*. These observations support Alpine's Green rating for *Manager Transparency & LP Communications*.

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Reference Data

1. Manager

Management Company and Affiliates

Field	Value
Manager name	Pembroke, Walker & Ross Funds Inc.
Date of commencement of operations	January 1, 2012
Manager legal structure	Private Corporation
Publicly traded	No
Primary location	Toronto (Canada)

Material affiliates include Baxter Gilmour & Associates Inc.; Bramble Capital Partners; Pembroke, Walker & Ross Infrastructure Management Partnership; Pembroke, Walker & Ross Financial Group Ltd.; Pembroke, Walker & Ross Investment Management Ltd.; Havencrest Real Estate Investments Ltd.; Zenith Capital; NR Partners Ltd.; PCR Investment Counsel Ltd.; PCQ Partners; Sawyer, Randall & Associates Investment Management Ltd.; and Valedge Asset Management LLP.

Assets Under Management (Firm Level)

Field	Value
AUM report date	September 30, 2023
Total AUM (Havencrest)	CAD 5.41 billion
Total AUM (PWRFG, firm-wide)	CAD 110.74 billion
Investor concentration report date	September 30, 2023
Capital held by largest investor	6.78%
Capital held by 5 largest investors	20.07%
Manager offers regulated product structures	No
Manager runs separately managed accounts	Yes

Ownership

Field	Value
Internal investors	Havencrest's Partners (50.00%) and Pembroke, Walker & Ross Financial Group Ltd. (50.00%)
Controlling equity interest	No
Seed investor relationship	No

Human Resources

Field	Value
Total headcount (PWRFG)	352
Number of investment professionals (Havencrest)	40
Other employees (PWRFG non-investment support)	300+
Manager uses 3rd party consultants	No
Employees related / married	Yes — Mason Gilcrest (Head of Research - Quantitative Equity - PWRIM) is married to Julia Cheng (Senior Analyst - Quantitative Equity - PWRIM)

Principals and Key Professionals

Role	Name
President / CEO (Havencrest)	Kenneth Lawson
Executive VP / COO (Havencrest)	Colm MacFarland
Executive VP / Head of Asset Management (Havencrest)	Marcus Reinhart
Executive VP / Head of Mortgage Investments (Havencrest)	Brody Stenson
VP / Asset Management & Investments (Havencrest)	Austen Grayson
CFO (Havencrest)	Douglas Ferris
Chairman (PWRFG)	Martin Frank
CEO (PWRFG)	Wesley Sutherland

Role	Name
General Counsel (PWRFG)	Preston Richardson
CFO (PWRFG)	Stephen Abbott
Director - Operations Risk (PWRFG)	Sabrina Jameson
Principal / Director - Information Systems (PWRFG)	Mitchell Marston

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2. Legal, Regulatory & Compliance

Regulatory Oversight

Field	Value
Ontario Securities Commission	Registered (PWRFI as Investment Fund Manager and Exempt Market Dealer)
Securities and Exchange Commission	Registered (PWRIM since April 17, 2014)
British Columbia Securities Commission	Registered (PWRIM — primary regulator)
Canadian Securities Administrators	Registered (PWRFI, PWRIM, Havencrest Asset Management Ltd.)
Autorité des Marchés Financiers	Previously inspected (November 2016, concluded Q2 2017)
FINTRAC	Audited October 2017 — no material findings
Date of most recent regulatory inspection	April 2017 (BCSC — PWRIM)
Subject to regulatory sanctions in past 10 years	Yes — PWRIM penalty fees in Sweden and Norway (NOK 20,000, SEK 10,000, NOK 40,000 between 2019-2021) for late short position reporting
Subject to non-routine correspondence in past 5 years	No

Compliance Infrastructure

Field	Value
Compliance officer	Colm MacFarland (dual role with COO at Havencrest)
Compliance consultant	Marlowe & Crane; Beacon Compliance Services
Manager has a compliance manual	Received (dated May 2019)
Compliance officer outsourced	No
Manager has SOC 1 / external controls report	Yes (auditor: Marlowe & Crane)
Employee compliance surveillance tool	MyComplianceOffice (MCO)

Claims, Actions, and Conflicts

The Manager represented that the firm and its staff are routinely involved in litigation arising in the ordinary course of business, particularly related to its investment properties, but is not party to any litigation that would have a material impact on the firm's business.

3. Technology, Cybersecurity & Business Resilience

Information Technology

Field	Value
Technology consultant	Charles River Development, Palo Alto Networks
Cybersecurity consultant	Sentinel Advisory Group, Marlowe & Crane

Technology consultant note: The firm uses 10 IT consultants (SS&C Advent, Citrix, Cisco, First Derivatives, Microsoft, Palo Alto, Charles River, Insight, Pwerland, and Pure Storage), which are engaged on a retainer basis. Additional cybersecurity consultants include IBM, Northford Digital, Mimecast, Thycotic / Delinea, Authentic8, KnowBe4, Sentinel Advisory Group, and Sentinel Trap, with the majority on a retainer basis.

Cybersecurity Controls

Field	Value
Cybersecurity policy	Received
Cybersecurity breach in past year	No
Frequency of cybersecurity training	Quarterly
Network penetration testing consultant	Sentinel Trap
Date of last network penetration test	August 18, 2023
Frequency of phishing testing	Monthly

Disaster Recovery / Business Interruption

Field	Value
Business continuity plan	Received
BCP enacted in past year	No
Latest failover test	September 27, 2023 — no material deficiencies

4. Fund

Corporate Structure

Field	Value
Domicile	British Columbia
Date of incorporation	November 7, 2012
Date of commencement of operations	April 29, 2013
Asset class	Hedge Fund
Type of structure	Trust
Master fund	Havencrest Real Estate Investments Limited Partnership
Other entities in structure	Private Client Real Estate Portfolio
Segregated cell / umbrella	No
Offering document date	November 16, 2012

Assets Under Management (Fund Level)

Field	Value
Fund AUM	CAD 1.92 billion
Master Fund AUM	CAD 2.8 billion
Insider Investment - Fund	CAD 15.2 million

Service Providers

Role	Provider
Administrator (Fund)	Northern Crown Investor Services
Administrator (Master Fund)	Self-administered
Auditor	Marlowe & Crane LLP
Custodian	Northern Crown Investor Services Trust
Corporate banker	Northern Crown Investor Services Trust
Credit facility provider	Dominion Commercial Bank

Role	Provider
Valuation agent	Harbinger Realty Advisors
Administration agreement	Not available for investor inspection
Administrator provides investor transparency reports	No
Auditor changed	December 2019 (Marlowe & Crane replaced Kingston Harmon LLP)

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5. Service Providers, Delegation & Oversight

(See Chapter 5 narrative and Section 4 Service Providers table above.)

Additional notes:

- The Master Fund has not appointed a third-party administrator.
- The Fund's Administrator (NCIS) is an affiliate of its custodian and corporate banker (Northern Crown Investor Services Trust) — potential conflict flagged.
- PW&R utilizes multiple administrators across its product line (NCIS and Dominion Commercial Trust Services).
- The Fund's auditor also provides tax and audit services to the management company.

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6. Fund Terms

Share Class Terms

Field	Value
Subscription frequency	Monthly (see note)
Shares carry voting rights	No
Redemption frequency	Monthly (at 10% discount to NAV) or Quarterly (at NAV)
Redemption notice period (Business Days)	15
Redemption gate type	Fund Level
Redemption gate description	20% of units outstanding at beginning of fiscal year
Lockup (hard)	None
Lockup (soft)	None
Holdback percentage	N/A
Holdback type	N/A

Redemptions - Fund Level

Field	Value
Side pocket provision	No
Redemption in kind provision	Yes (Redemption Note issued by Redemption Trust)
Commitments and contingencies provision	Yes
Suspension of redemptions provision	Yes (for period not exceeding 120 days)
Key man provision	No
Fund has ever enacted redemption gate	No
Fund has ever used side pockets	No
Fund has ever paid redemption in kind	No
Manager has previously suspended redemptions	No

Management and Incentive Fees

Investor NAV (CAD M)	Management Fee % (p.a.)
Option 1: Flat	1.15% + 20% incentive fee
Option 2 (tapered, no incentive):	
less than CAD 10M	1.35%
next CAD 10M	1.15%
next CAD 15M	1.00%
balance over CAD 35M	0.85%
Field	Value
Incentive fee	20% (Option 1 only); hurdle 8% p.a.; high watermark trailing 8 quarters
Subscription fee / Redemption fee	None
Expense ratio - Fund (latest year)	1.43 bps
Expense ratio - Master Fund standalone (latest year)	382.23 bps

7. Investment Operations & Portfolio Controls

Trading Control Details

System	Provider
Portfolio Management	ARES (proprietary)
Deal Management	Origin
Portfolio Accounting	Yardi

Investment Allocation Policy: Received by Alpine (dated January 2024).

Prime Brokers, Custodians and Counterparties

Role	Provider
Credit Facility	Dominion Commercial Bank
Custodian	Northern Crown Investor Services Trust

8. Valuation, Asset Existence & Investor Reporting

Valuation Controls

Field	Value
Valuation policy	Received (undated)
Valuation Agent	Harbinger Realty Advisors
Valuation committee	Yes — "Advisory Committee"
Members of Advisory Committee	Silas Norvall (President & CEO of CSC Student Communities Corp); Priscilla Stratford (former CEO of Cornerstone Canada Financial Corp)
Frequency with which valuation committee meets	Quarterly
Valuation committee meets at every NAV calculation date	Yes
Valuation committee meetings formally minuted	Yes

Assets (as at December 31, 2022, CAD)

Level	Category	Amount
Level 2	Investment in Master Fund	1,872,958,413
Level 2 Total		1,872,958,413

Net Asset Value Controls

Field	Value
NAV issuance timeline	60 Business Days
History of NAV errors	None

Financial Reporting Controls (Fund)

Field	Value
Year	31 December 2022 (CAD)
Auditor	Marlowe & Crane LLP

Field	Value
Accounting framework	IFRS
Audit opinion addressee	Unitholders
Audit report date	18 May 2023
Audit location	Vancouver
Qualified opinion	No
Emphasis of matter	No

Financial Reporting Controls (Master Fund)

Field	Value
Year	31 December 2022 (CAD)
Auditor	Marlowe & Crane LLP
Accounting framework	LPA (per Limited Partnership Agreement)
Audit opinion addressee	Partners
Audit report date	4 April 2023
Audit location	Vancouver
Qualified opinion	No
Emphasis of matter	Yes (Financial Reporting Framework)

Fund Balance Sheet (as at December 31, 2022, CAD)

Field	Value
Total assets	1,900,193,318
Total liabilities	(26,260,149)
Total equity	1,873,933,169
Balance sheet leverage	1.01

Master Fund Balance Sheet (as at December 31, 2022, CAD)

Field	Value
Total assets	5,271,812,015
Total liabilities	(2,287,210,016)
Total equity	2,984,601,999
Balance sheet leverage	1.77

Fund Income Statement (for period ended December 31, 2022, CAD)

Field	Value
Realized / Unrealized Gains & Losses	168,656,463
Interest Income	124,552
Operating Expenses	(228,848)
Other Income and Expenses	65,013,766
Net Profit From Operations	233,565,933

Master Fund Income Statement (for period ended December 31, 2022, CAD)

Field	Value
Realized / Unrealized Gains & Losses	244,217,831
Interest Income	12,763,847
Interest Expense	(74,384,016)
Management & Incentive Fees	(11,002,262)
Operating Expenses	(99,499,017)
Other Income and Expenses	303,626,709
Net Profit From Operations	375,723,092

Track Record (Fund-Level, Net Monthly Returns)

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD
2023	0.45	0.40	-1.9 2	0.44	0.42	-1.6 1	0.84	0.44	0.46	—	—	—	-0.1 2

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD
2022	0.56	0.54	7.28	0.80	0.51	3.12	0.20	0.51	1.44	0.75	0.38	-0.33	16.69
2021	0.70	0.45	3.20	0.53	0.51	3.77	0.66	3.71	0.85	0.52	4.91	-0.24	21.23
2020	0.48	0.00	-3.28	0.55	0.57	1.00	0.55	0.50	0.17	0.57	0.53	1.64	3.25

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9. Manager Transparency & LP Communications

Document	Status
Compliance Manual (Corporate Governance)	Received (dated May 2019)
Valuation policy	Received (undated)
Investment Allocation policy	Received (dated January 2024)
Personal Trading policy	Received
Information Security Management policy	Received (dated January 2023)
Business Continuity Plan	Summary received
Incident Response Plan	Summary received
Trust Agreement	Received (dated November 16, 2012)
Fund Term Sheet	Received (dated September 2021)
Form ADV (dated March 31, 2023)	Received
Audited financial statements (Fund, Dec 31, 2022)	Received
Audited financial statements (Master Fund, Dec 31, 2022)	Received
Administration Agreement	Not provided
Asset Transfer Documentation	Not provided

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